

(EN)VAYLA Legal & Compliance

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1. Purpose and Scope

This document provides a **high-level overview of the legal and regulatory positioning** of VAYLA Arena and the VAYLA token.

This document:

- Serves as a **summary reference** and does not replace formal legal opinions
- Is not intended as investment advice, legal advice, or a guarantee of compliance

For binding interpretations, the following documents prevail:

- **Official Whitepaper v3.6**
 - Formal Legal Opinions issued by external legal counsel
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2. Project and Operating Structure

VAYLA Arena is a **global music fandom participation platform** that technically facilitates user participation, voting, and funding activities.

Core Principles

- VAYLA Arena does not issue or operate investment products.
 - The platform acts as a **technology and participation infrastructure provider**.
 - VAYLA Arena does not provide financial guarantees or performance assurances for any content or project.
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3. Legal Nature of the VAYLA Token

The VAYLA token is designed as a **utility token** used exclusively within the VAYLA Arena platform.

Key Characteristics

- No dividends, interest, or profit-sharing rights
- Does not represent equity, ownership, or governance claims
- Token ownership does not confer legal rights beyond platform functionality
- Utility limited to **participation, usage, and reward mechanisms**

The VAYLA token is not intended to function as a security or investment instrument.

4. Participation, Not Investment

VAYLA Arena is designed as a **participation-based fandom platform**, not as an investment or yield-generating service.

All platform activities follow a clear structure:

Participation → Contribution → Rewards

Rewards:

- Are provided as a result of participation
 - Do not include fixed returns, guaranteed income, or price appreciation promises
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5. Regulatory Considerations (General Perspective)

VAYLA Arena is built as a global platform and is operated with consideration for varying regulatory environments.

General Principles

- Respect for jurisdiction-specific regulatory frameworks
- Compliance with data protection and privacy standards
- Design choices aimed at minimizing financial product misclassification risks

Jurisdictions Considered

- Republic of Korea

- Hong Kong
- Singapore
- Other applicable service regions

VAYLA Arena does not seek to circumvent or avoid financial regulations in any jurisdiction.

6. Data Protection and Privacy

VAYLA Arena prioritizes a balanced approach to transparency and privacy.

- Personal data is managed off-chain
- Participation outcomes and verification data are recorded on-chain
- User identity data is structurally separated from participation records

This approach reflects consideration for:

- Data protection laws
 - Global privacy standards
 - Platform trust and integrity
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7. Transparency and Disclosure Policy

VAYLA Arena follows a **Selective Disclosure** policy to balance transparency and security.

- Core architecture and operational principles are publicly disclosed
- Security-sensitive details are selectively restricted
- Development progress is shared in phases

Detailed disclosure standards are outlined in

"VAYLA Arena – GitHub Strategy & Disclosure Guide."

8. Document Hierarchy and Priority

This document should be read in conjunction with the following materials:

1. **Whitepaper v3.6** (Primary governing document)
2. Formal Legal Opinions (External counsel)

3. This Legal & Compliance document
4. Other VAYLA Docs (Overview, Token Economics, Platform Architecture, etc.)

In the event of inconsistency, **Whitepaper v3.6 shall prevail.**

9. Disclaimer

- This document is provided for informational purposes only.
 - It does not constitute investment advice, legal advice, or solicitation.
 - Content may be updated without prior notice to reflect operational or regulatory changes.
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10. Summary

VAYLA Arena is designed to minimize legal and regulatory risks while delivering a transparent, participation-driven fandom platform.

The VAYLA token functions solely as a **utility mechanism** supporting platform participation

and is not intended as an investment or financial product.

[Document Usage Notes]

- Public website disclosure
- Exchange due diligence reference
- Partner and stakeholder communication material
- Legal interpretations should rely on formal legal opinions